Loan agreement

Abank

A loan agreement is a formal document provided by the lender that sets out the terms and conditions of the loan.

This Loan Agreement ("Agreement") is made and will be effective on **04-04-17**.

BETWEEN Lender: ("A Bank") **AND** Borrower: ("A Person")

TERMS AND CONDITIONS

1. PROMISE TO PAY

Within **60 months** from today, the Borrower promises to pay the Lender the sum of **$20,000** and interest and other charges stated below.

2. DETAILS OF LOAN

The Borrower agrees to repay the full amount of capital borrowed, plus fees and charges, the interest rates, the monetary amount of interest, and the total amount repayable

Amount of loan:	**$20,000.00**
Other (such as arrangement fee):	**$200.00**
Amount financed:	**$19,800.00**
Total of payments:	**$23,533.94**
Annual rate:	**6.8%**

3. REPAYMENT

The Borrower will repay the amount of this loan in **60** equal continuous monthly installments of **$392.23** each on the **4th** day of each month preliminary on the **4th** day of April 2017, and ending on the **4th** day of April 2022.

4. PREPAYMENT

The Borrower has the right to pay back the whole amount at any time, but a charge may be levied for early repayment **$1,360.00**

5. LATE CHARGE

Any installment not paid within **15** days of its due date shall be subject to a late charge of 4% of the payment: **$15.69**

6. DEFAULT

If for any reason the Borrower fails to make any payment on time, the Borrower shall be in default. The Lender can then demand immediate payment of the entire remaining unpaid balance of this loan without giving further notice.

Term of loan The length of time over which the loan will be repaid in regular installments. This is normally expressed in months.

Amount The capital originally borrowed and advanced to the borrower. It is expressed in the currency of the loan, such as pounds, euros, or dollars.

Total amount repaid The total capital, interest, and fees paid by the borrower to the lender over the whole term.

APR The annual percentage rate: a calculation that takes into account the interest rate plus fees and charges such as arrangement fees.

Regular payments The periodic installments in which the loan will be repaid, for example, weekly, monthly, or quarterly.

Early repayment charge An additional charge applied if the borrower redeems (repays) the loan before the end of the term.

Late fees An additional charge applied if the borrower does not pay the installment on the agreed date. The borrower continues to be charged until the original payment schedule is restored.

Default The failure to meet the legal conditions of a loan puts the borrower in default. A loan agreement sets out the consequences of a default.